



The convergence of demand for **food, fuel, feed and fibre** will lead to an unprecedented pressure on resources including land, water, and other natural capital like forests. **Meeting this demand in an economically viable, socially inclusive and environmentally sustainable manner is the greatest challenge that confronts us today.** Unless we find solutions to these multiple challenges, we stand the risk of not only perpetuating social discontent and consequent unrest, but also of rendering future growth unsustainable.

Over many decades, the world has pursued a growth model primarily based on the exploitation of precious natural resources without any material effort to conserve and replenish. This approach has only passed on an avoidable cost to future generations, putting their economic security at a significant risk.

Market forces, as they stand today, do not adequately reward longer term objectives of building a sustainable economy. A more enduring solution will emerge only when policy makers and market participants assign a larger priority to promoting economic activity in a way that does not compromise the interest of the future for short-term gains of the present.

Challenges of this magnitude cannot be addressed by any solitary section of society. It is obvious that innovative public-private-people partnerships will have to be forged to make a meaningful difference in respect of these larger issues. Corporates, on their part, are uniquely placed to play a constructive role in this process. Positioned, as they are, in the frontline of engagement with civil society, corporates have the wherewithal, including the more crucial managerial resources, to deliver social projects efficiently at a lower incremental cost. Your Company's own experience bears this out. **Inspired by the opportunity to contribute to a more secure and sustainable future, your Company has structured innovative business models that leverage its brands, technological capability, agri-sourcing strengths and an unmatched trade distribution network to create unique opportunities for sustainable livelihoods.**

I must emphasise here that ITC's conscious strategy to invest in developing societal capital on a scale implemented so far, entails costs that constitute a drag on the financial bottom line in the short-term. However, I strongly believe that by doing so, we are putting in place a strong foundation for the future, which will ensure the longer term sustainability and profitability of your Company. A short-term focus would possibly yield immediate incremental financial gains, but would not provide insulation against longer term challenges. **It is my belief that the shareholders of ITC would, over time, greatly benefit from the support and trust of the communities we are helping to transform through our larger Triple Bottom Line initiatives.**

These core issues of food, energy, sustainable livelihood and environmental security are the primary challenges. However, there are other challenges too – the provision of physical and social infrastructure, such as for education, healthcare and last mile connectivity for rural India. While all these issues need to be resolved, what is needed is a greater focus on innovative measures that will bring a quantum impact on the lives of the poor.

While a multiplicity of initiatives need to be pursued to address these diverse challenges, I would like to take this opportunity today to highlight and share with you one example of such a sustainable model of growth which can have a far reaching beneficial impact on poverty alleviation through large scale livelihood creation, and simultaneously address the issues of environmental and energy security.

CREATING A SUSTAINABLE AND SECURE FUTURE

The Agro-Forestry Potential

Apart from food processing value chain based agricultural growth, one of the most powerful means of bringing about transformational change in rural India lies in the relatively untapped agro-forestry sector, and in its allied areas across the entire wood-based value chain.

The multitude of benefits that social and farm forestry can bring about can best be understood from ITC's experience in fashioning an effective social and farm forestry based business strategy to manage its Paper & Paperboards business.

ITC's Experience in Social & Farm Forestry

Several years ago, ITC was confronted with a significant challenge in its Paperboards business primarily due to lack of scale for want of cost effective access to fibre. In the new regime of reduced import duties, ITC had the easier option to import wood pulp and carry on a "business as usual" scenario. However, your Company chose to take on the more difficult route of mobilising marginal farmers and tribals to plant trees on their private wastelands. This



strategy implied longer gestation, substantial investment and considerable management attention in managing uncertainty and risk. However, it enabled poor and marginalised farmers to convert their wastelands to pulpwood plantations, creating a sustained source of income for themselves.

Your Company invested in extensive R & D to create clonal saplings which would be disease resistant and grow much faster in relatively harsher conditions. **These saplings have made the growing of pulpwood species on degraded wastelands a sustainable livelihood option, and consequently a life-changing proposition for marginal farmers and tribals in the economic vicinity of the mill.**